The Effects of Price Transparency on Vacation Rentals: Evidence from California's Honest Pricing Law

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Problem Definition and Research Questions

Hidden fees have become a widely debated pricing practice in the live event ticketing and short-term lodging industries. These fees, such as service charges, resort fees, and cleaning fees, are mandatory add-ons that are often excluded from the initially displayed price. Because such fees are typically revealed only at the final stage of purchase, they limit consumers' ability to compare options and assess the true total price (Morwitz et al., 1998). In response, policymakers, including the Federal Trade Commission and several state governments, have introduced regulations to increase price transparency, requiring upfront disclosure of all mandatory fees,[1] with important implications for pricing strategies and consumer behavior.

These regulatory changes are particularly relevant in vacation rental platforms, where pricing typically involves multiple components: a *nightly rate* and a *cleaning fee* set by the host, and a *platform service fee* set by the platform. Vacation rental platforms operate as two-sided markets in which travelers make sequential search and booking decisions based on displayed prices, while hosts choose how to allocate prices across the nightly rate and cleaning fee. This structure implies that changes in price disclosure rules can affect behavior on both sides of the market by changing the prices travelers observe early in the booking process and hosts' incentives to rebalance charges across price components. The two-sided nature of the marketplace, together with the fact that hosts control multiple components of the total price, makes vacation rentals a particularly rich setting for studying the consequences of price transparency regulation. In this context, we examine how price transparency laws affect pricing and demand on vacation rental platforms through (i) hosts' nightly rate and cleaning fee decisions and (ii) travelers' search and booking behavior.

[1] ftc.gov/news-events/news/press-releases/2024/12/federal-trade-commission-announces-bipartisan-rule-banning-junk-ticket-hotel-fees

Empirical Setting and Data

To study these effects, we exploit the first large-scale implementation of mandatory price transparency under California's *Honest Pricing Law*, which took effect on July 1, 2024.[2] The law requires businesses to display a single all-in price inclusive of all mandatory fees, excluding only government-imposed taxes. In response, vacation rental platforms adjusted their price displays for California properties, creating a policy-driven change in the presentation of prices to travelers. In collaboration with Expedia Group, the parent company of Vrbo, one of the largest vacation rental platforms in the United States, we leverage this change using granular U.S. click-level data covering approximately one million unique properties. The shift in price disclosure provides a plausibly exogenous, quasi-experimental setting that enables us to isolate the causal impact of price transparency laws on both hosts' pricing decisions and travelers' search and booking behavior.

Our empirical analysis combines two complementary datasets from Vrbo covering all U.S. states over a two-year window spanning 2023 and 2024, including 18 months of pre-treatment data and 6 months of post-treatment data. The first dataset contains displayed prices at the property-detail-page level and records nightly rates and cleaning fee costs for individual listings by search and arrival date. The second dataset is a search and booking dataset that captures traveler activity across multiple stages of the purchase funnel, from initial search to property-detail-page visits and final booking, aggregated at the state-by-date level.

Methodology and Results

To estimate the causal effect of the Honest Pricing Law on hosts' pricing decisions, we use a difference-in-differences design that compares outcomes for California listings before and after the law took effect to outcomes for listings in other U.S. states over the same period. Our specification includes property fixed effects, search-date and arrival-date fixed effects, and standard search-level controls, accounting for unobserved listing heterogeneity and time-varying demand conditions across both time dimensions.

We find that, following the implementation of the Honest Pricing Law, cleaning fees charged by California hosts decline by approximately 8% relative to changes for hosts in other U.S. states. The decline is driven by the extensive margin: hosts eliminate cleaning fees altogether, with no statistically significant change in the fee amount among those who continue to charge one. Professional hosts exhibit a significantly larger reduction in cleaning fees than non-professional hosts, consistent with documented differences in pricing sophistication (Li et al., 2016). California hosts also increase nightly

[2] https://oag.ca.gov/hiddenfees

rates by approximately 2% relative to hosts in other states, indicating a reallocation of charges across price components under all-in disclosure. These effects persist throughout the post-treatment period.

To estimate the causal effects of the Honest Pricing Law on travelers' search and booking behavior, we use a synthetic difference-in-differences (SDID) approach (Arkhangelsky et al., 2021). Because traveler outcomes are observed at the state-by-date level rather than at the individual listing level, SDID constructs a data-driven comparison group for California that closely matches pre-treatment trends in traveler behavior. This approach allows us to estimate the impact of the law relative to a credible counterfactual.

We find that, following the implementation of the Honest Pricing Law, overall conversion rates exhibit a brief decline after the transition to all-in price display, followed by a rebound that turns positive and remains positive throughout the post-treatment period. Decomposing conversion into the transition from search to property-page views and from property-page views to booking, we find that the positive post-treatment effect is driven by a significant increase in the likelihood of booking conditional on viewing a property page. This pattern suggests that upfront disclosure of total prices reduces last-minute surprises from hidden fees and increases booking conversion once travelers engage with a listing.

Managerial Insights

Our findings show that price transparency laws affect outcomes on both sides of the vacation rental market. Following California's Honest Pricing Law, hosts reduce or eliminate cleaning fees and increase nightly rates, reallocating charges across price components, with heterogeneous responses across professional and non-professional operators. On the demand side, conversion rates increase after a brief initial decline, driven by higher booking conversion conditional on viewing a property page, consistent with reduced hidden-fee surprises under all-in pricing. These findings provide early empirical evidence to inform the evaluation of the FTC's federal all-in pricing rule, which took effect in May 2025. More broadly, the results illustrate how firms and consumers adjust to changes in price salience in two-sided online marketplaces.

References

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